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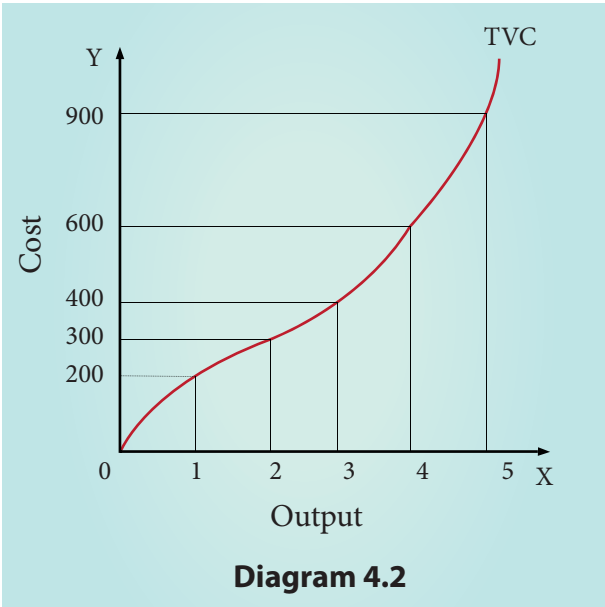


Diagram 4.2

In the diagram the TVC is zero when nothing is produced. As output increases TVC also increases. TVC curve slopes upward from left to right. For instance in TC = Q^3 – $18Q^2$ + 91Q +12, variable cost, TVC = Q^3 – $18Q^2$ + 91Q

4.4.3 Total Cost Curves

Total Cost means the sum total of all payments made in the production. It is also called as Total Cost of Production. Total cost is the summation of Total Fixed Cost (TFC) and Total Variable Cost (TVC). It is written symbolically as

TC = TFC + TVC. For example, when the total fixed cost is ₹ 1000 and the total variable cost is ₹ 200 then the Total cost is = ₹ 1200 (₹ 1000 + ₹ 200).

If TFC = 12 and

TVC = Q^3 – $18Q^2$ + 91Q

TC = 12 + Q^3 – $18Q^2$ + 91Q

Table 4.3 Total Cost Curves

Output (in unit)	Total Fixed Cost (TFC) (in ₹)	Total Variable Cost (TVC) (in ₹)	Total Cost (TC) TFC+TVC (in ₹)
0	1000	0	1000
1	1000	200	1200
2	1000	300	1300
3	1000	400	1400
4	1000	600	1600
5	1000	900	1900

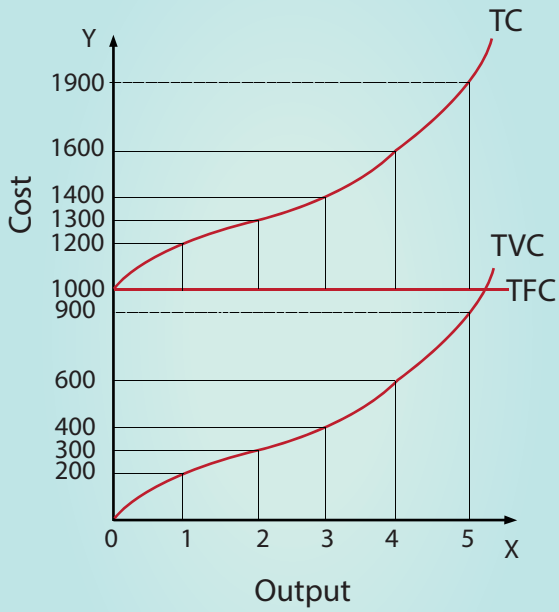


Diagram 4.3

It is to be noted that

a) The TC curve is obtained by adding TFC and TVC curves vertically.

b) TFC curve remains parallel to x axis, indicating a straight line.

c) TVC starts from the origin and moves upwards, as no variable cost is incurred at zero output.

d) When TFC and TVC are added, TC starts from TFC and moves upwards.